

# Foundational Factors

A compact three-factor core (momentum, mean reversion, carry) – each axis captures a structurally different source of cross-sectional return, so their blend is largely uncorrelated.

Foundational Factors integrates three orthogonal factors: momentum, mean reversion and enhanced carry. The momentum component captures assets with strong, persistent price trends; the mean reversion component captures assets with medium-term mean reversion effects; and the carry strategy seeks to profit from funding rates and related statistical price distortions.

All have been inspired by the academic literature, with proprietary enhancements.

Together, these factors create a diversified return stream designed to outperform in a range of market conditions.

The asset universe consists of the most liquid and actively traded assets, identified on a rolling basis – various techniques are employed to keep it both stable and relevant, as well as survivorship-bias free.

To balance each asset's risk contribution, positions are scaled according to the inverse of their rolling volatility.

The portfolio is rebalanced daily, with hourly updates provided, 5 minutes past the hour (UTC).

## TOP 40 CROSS-SECTIONAL MULTI-FACTOR PORTFOLIO

Top 40 market-cap universe • 200% gross exposure (100% long / 100% short). Blends 3 orthogonal factors into one diversified, point-in-time stream; inverse-vol sized, rebalanced daily.

[Download Returns \(CSV\)](#) →

### PERFORMANCE

Report Period Start Date Jan 2020 • End Date Aug 2026

#### Cumulative Returns

| MTD  | Last Month | 1M    | 3M   | YTD  |
|------|------------|-------|------|------|
| 0.5% | –1.7%      | –1.4% | 9.6% | 7.1% |

#### Annualised Returns (CAGR)

| 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|
| 34.4% | 43.5% | 30.7% | 68.5% |

### RISK PROFILE

#### Realised Volatility (annualised)

| 1M    | 3M    | 1Y    | 3Y    | 5Y    | SI    |
|-------|-------|-------|-------|-------|-------|
| 11.4% | 21.1% | 17.9% | 21.6% | 21.1% | 27.7% |

#### Max Drawdown

| %      | Date       |
|--------|------------|
| –30.2% | 2022-02-27 |

### CUMULATIVE RETURN



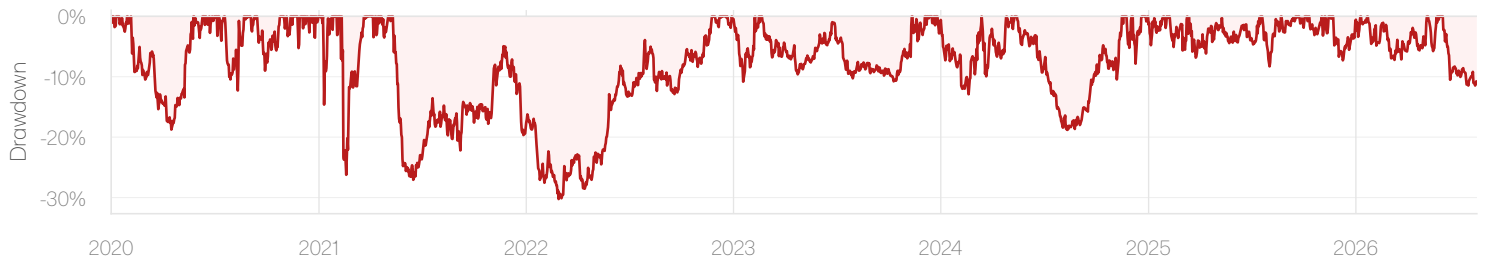
Note – Performance is for the Foundational Factors multi-factor portfolio (component factors blended and rescaled across the Top 40 universe, rebalanced daily); demonstrative only, not a tradable product. Past performance is not indicative of future results.

# Portfolio Analysis

[Download Returns \(CSV\)](#) →

Portfolio-level diagnostics for the live multi-factor strategy: the cumulative compounding profile shown on page 1 broken into its drawdown trajectory, calendar-month returns, rolling risk-adjusted return and rolling gross exposure. Constituents: Momentum, Mean Reversion, Enhanced Carry.

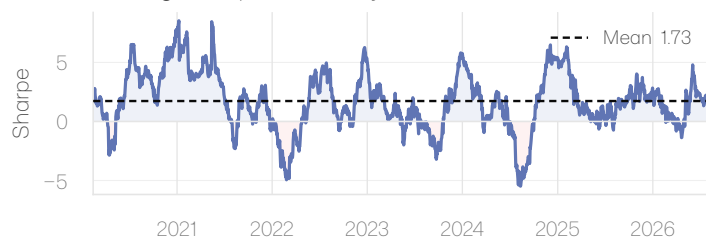
## Drawdown



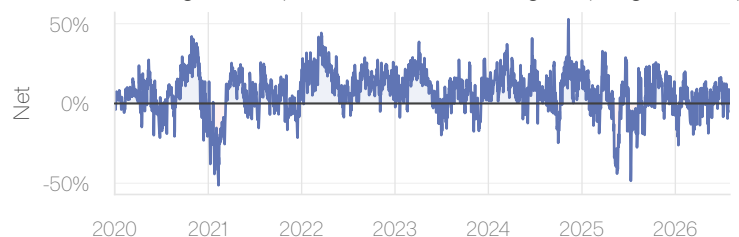
## Monthly Returns • calendar-month, compounded

|      | Jan    | Feb    | Mar    | Apr    | May    | Jun    | Jul   | Aug    | Sep   | Oct    | Nov    | Dec    | Year    |
|------|--------|--------|--------|--------|--------|--------|-------|--------|-------|--------|--------|--------|---------|
| 2026 | -1.7%  | +0.1%  | -1.7%  | +2.6%  | +15.1% | -5.0%  | -1.7% | +0.5%  |       |        |        |        | +7.1%   |
| 2025 | +1.3%  | +4.4%  | -1.6%  | +3.1%  | -1.4%  | -1.2%  | -0.2% | +7.7%  | +0.2% | +4.9%  | +6.1%  | +3.1%  | +29.0%  |
| 2024 | -5.9%  | -0.8%  | +8.5%  | +1.7%  | -0.5%  | -6.2%  | -9.4% | -0.3%  | +9.5% | +1.0%  | +32.6% | +18.8% | +51.5%  |
| 2023 | -7.8%  | +11.2% | -0.5%  | -3.7%  | +3.4%  | +1.0%  | -6.3% | +0.9%  | +0.2% | +2.5%  | +6.7%  | +28.6% | +36.6%  |
| 2022 | -9.7%  | -3.9%  | +7.8%  | +0.5%  | +11.0% | +2.8%  | +7.0% | -4.3%  | +1.7% | +1.4%  | +9.6%  | +7.5%  | +33.4%  |
| 2021 | +58.6% | +5.7%  | +21.9% | +33.0% | -8.9%  | +1.0%  | +8.0% | +1.6%  | +0.5% | -1.4%  | +10.0% | -10.9% | +166.5% |
| 2020 | +15.1% | -7.3%  | -5.0%  | -0.4%  | +17.6% | +10.5% | +9.2% | +18.2% | +2.7% | +13.5% | +27.9% | +21.2% | +206.3% |

## Rolling Sharpe • 90-day, annualised



## Rolling Net Exposure • sum of weights (long – short)



## ABOUT UNRAVEL

Unravel publishes a catalog of cross-sectional, market-neutral crypto factors – each with point-in-time history and live signals – designed to be combined into multi-factor portfolios that diversify away single-factor risk. Full catalog, methodology and API at [unravel.finance](https://unravel.finance); see the materials below.

[View this portfolio on unravel.finance](#) →[Replication notebook – multi-factor construction](#) →

Have further questions? Book a call with our team – [unravel.finance/booking](https://unravel.finance/booking)

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